

**Volume trend.** Volume trends downward 59% of the time. I found this using linear regression as measured from peak to peak.

**Rising/Falling volume.** Double tops that see price rise from the left peak to the right have a slight performance edge. It's not an earth-shaking difference, but it is an edge.

**Breakout day volume.** I saw no performance difference between heavy or light breakout volume, but many technical traders will say that heavy breakout day volume is best. A scan of other chart patterns shows that heavy breakout volume *does* help performance most of the time. I discussed this in the first chapter.

[\*\*Table 33.7\*\*](#) shows how often price reaches a stop location. If you place a stop-loss order at the higher of the two peaks, you'll be stopped out 1% of the time, on average, if you trade it often enough and if your stocks perform like the nearly 1,000 patterns I examined for Eve & Eve double tops. Other locations show higher stop-out rates.

Once you determine where the stop should go, then divide the potential loss by the current price (as a percentage) and see if you can tolerate such a loss. If not, then move your stop closer (increasing the stop-out risk) or just look for another chart pattern to trade. You don't *have* to trade the one you're looking it. In fact, if you fall in love with (or hate) the stock, it's probably a signal you're making a mistake (you're letting emotions rule).

[\*\*Table 33.6\*\*](#) Volume Statistics

| Description                       | Down Breakout |
|-----------------------------------|---------------|
| Volume trend                      | 59% down      |
| Rising volume trend performance   | −17%          |
| Falling volume trend performance  | −15%          |
| Heavy breakout volume performance | −16%          |
| Light breakout volume performance | −16%          |